Child Care Policy, Regulation and Funding

True North Strategies

Executive Summary

August 3, 2026

A Multi-State Landscape Assessment for Child Development Schools, Inc.

This summary accompanies a full landscape assessment covering the federal framework and the eleven states in which Child Development Schools operates — approximately 267 centers across North Carolina, Georgia, Arizona, Texas, Florida, Arkansas, Oklahoma, Virginia, Alabama, Tennessee and Kentucky.

The three facts that organize everything else

1. The federal floor beneath subsidy revenue was removed three weeks ago. On May 12, 2026, the Administration for Children and Families published *Restoring Flexibility in the Child Care and Development Fund* (91 FR 25796), effective **July 13, 2026**. It rescinded the four provider-facing mandates of the March 2024 CCDF rule: the seven percent family copayment cap, enrollment-based payment, prospective payment, and grants and contracts for underserved populations. States may keep any of them. None is required.

Revenue predictability in the subsidy book is now an eleven-state monitoring problem rather than a single federal guarantee. Three states in the footprint pay on enrollment (Alabama, Kentucky, Texas); five pay on attendance (Arizona, Arkansas, Florida, Oklahoma, Virginia); and **three are unconfirmed and should be resolved this month — Georgia, North Carolina and Tennessee, which together account for 159 centers.**

The rulemaking record is the strategic tell: 1,244 comments, with the majority of unique comments opposing the rescissions and the majority of the seven state agencies that commented supporting them. **State administrators wanted this flexibility back.** Changes will therefore arrive through policy transmittals and state plan amendments rather than legislation, with correspondingly less notice. Missouri has already paused prospective payment and Washington has defunded enrollment-based payment. Both are fiscal-stress cases. **Prioritize monitoring by state fiscal condition, not political lean.**

2. Nine of the eleven states elect a governor on November 3, 2026, and in seven the incumbent is term-limited. Committee assignments reset, agency heads serving at gubernatorial pleasure are in play, and the relationships that produced the last two years of favorable action do not automatically survive.

Two departures matter most. In **Georgia**, Lt. Gov. Burt Jones — architect of the state's entire child care tax credit agenda — lost the Republican runoff on June 16, and no successor study committee exists. In **Alabama**, twenty years of unbroken First Class Pre-K continuity has rested substantially on gubernatorial patronage, at exactly the moment the state's child care tax credits approach a December 31, 2027 sunset.

3. Direction of travel diverges sharply. Virginia and North Carolina expanded materially. Kentucky and Tennessee deregulated without funding. Arizona, Oklahoma and Arkansas contracted. Georgia is split — Pre-K rising, subsidy cut to the lowest initial eligibility threshold in the country. Florida and Alabama held flat under rising cost. **A single national posture will not work.**

Where the portfolio concentration sits

State	Centers	Share
North Carolina	77	28.8%
Georgia	76	28.5%
Arizona	30	11.2%

State	Centers	Share
Texas	23	8.6%
Florida	16	6.0%
Arkansas	14	5.2%
Oklahoma	12	4.5%
Virginia, Alabama, Tennessee, Kentucky	19	7.1%

North Carolina and Georgia together are 57 percent of the portfolio, and both are among the three states where the post-rescission payment basis is unconfirmed.

The five findings that carry the most weight

Rates are stale in six of eleven states, and four of them have already published the evidence for an increase. Alabama's benchmark is nine years old; Kentucky's five; Arizona's four, with an unused 2024 survey sitting on the shelf; Virginia's nearly four. The paired comparison that carries furthest is the wage floor against the public rate — **Florida is the cleanest case, with the minimum wage rising 25 percent from September 2022 to September 2026 while the VPK base student allocation moved from $3,029 to $3,029.** Two methodological shifts are worth more than any single rate increase: the cost-estimation provision in the pending federal reauthorization, and the state equivalents already in motion in Virginia, Kentucky and Georgia.

Mixed-delivery pre-K is the largest revenue opportunity and it is unevenly harvested. The position is strong in Georgia (roughly half of a $594 million programme runs through private providers) and Florida (private providers are 77 percent of the VPK delivery system). It is weak relative to the opportunity in **Alabama** — $84,804 to $97,908 per classroom plus up to $125,000 setup, in the highest-quality state pre-K programme in the country, with 4,100 children waitlisted and 229 classrooms needed against barriers an established operator already solves — and in **Virginia**, whose Mixed Delivery Grant Program is reserved for licensed private providers, contract-based, cost-based, priced at $19,441 a slot, and running at roughly twice oversubscription.

Quality ratings have decoupled from money in three states, and the response has to be state-specific. Tennessee cut its quality bonus so far that a top-scoring provider gained 0.8 percent while an unrated provider gained the full ten. Arkansas collapsed its tiers so only two of four advancement steps move the rate. **North Carolina has a directed study of decoupling star ratings from reimbursement entirely — in the largest state position in the portfolio.** Where the link survives it is steep: Oklahoma's two-to-three-star step raises the infant daily rate 67 percent.

The employer channel is the one clearly expanding revenue line, and the reason is tax law rather than appropriations. The 2025 federal reconciliation law raised the §45F credit to 40 and 50 percent with caps of $500,000 and $600,000, and — structurally most important — **for the first time permits a qualified facility to be jointly owned or operated by the taxpayer and other persons.** Five states layer programmes on top, with Georgia offering the strongest stack. In Arizona this channel is specifically insulated from a subsidy waitlist that has grown 575 percent in twenty-four months.

Zoning and siting is the least developed policy area, and three states have just opened the door — Tennessee's Public Chapter 980 amending local planning and zoning law, Virginia's Commission recommending zoning and licensing simplification on the record, and Arkansas's foundation-backed report proposing "Child Care Zones." Georgia, at 28.5 percent of the portfolio, has no state-level provision at all.

What requires attention in the next ninety days

By	Item
This week	Confirm Virginia's 8VAC20-781 effective date, grace period and **whether existing variances expire**
August	Arizona's 24-hour annual training compliance deadline — audit records at all 30 sites
August	Resolve subsidy payment basis in Georgia, North Carolina and Tennessee — 159 centers
August	Read Florida Rule 6M-4.500 and the July 31 plan amendment to confirm payment basis
Aug–Sept	**Arkansas: the sustainability package expires September 30 with no successor and no session until January.** Model a 10–20% rate reduction
August recess	Congressional center visits, including in the districts of the House Labor-HHS and House Appropriations chairs
September	Model North Carolina's county-by-county rate floor impact before October 1
October 1	Kentucky All STARS modernisation plan filed; Virginia Commission report — shape both before filing
December 1	Texas Governor's Task Force report; Kentucky ECCAP administrator contract
January 5, 2027	**Alabama tax credit reservation window — first-come, first-served, largest pools ever, last under current law**

On sourcing

Every factual assertion in the full report is drawn from a primary or authoritative source retrieved on August 3, 2026 — state administrative codes, legislative bill records, enacted appropriations acts, agency policy manuals, the Federal Register and statutory reports to legislatures. Nothing time-sensitive is drawn from general knowledge.

Where a fact could not be verified, it is marked **[unconfirmed]** rather than estimated. Those marks are deliberate: in a document supporting operating and advocacy decisions, a flagged gap is more useful than a confident guess. The full report consolidates every open item by priority, with the retrieval route for each. All are closable — most by a records request, a portal login or a telephone call.

Three claims in wide circulation are inaccurate and should not be relied upon: there is **no Arkansas "Act 1435"** employer child care credit (HB1435 died in committee on May 5, 2025); there is **no Tennessee employer child care credit** (the Department of Revenue's published credit list contains none); and **Florida child care licensing did not move to the Department of Education** — it remains with the Department of Children and Families, with four counties operating their own licensing agencies.